

**Nusyn Digital Solutions Private Limited (Formerly Scala Digital Signage Services India Private Limited)**  
**BALANCE SHEET AS AT 31 MARCH 2017**

(Amount in Rs.)

| Particulars                         | Note no. | As at 31 March 2017 | As at 31 March 2016 |
|-------------------------------------|----------|---------------------|---------------------|
| <b>EQUITY AND LIABILITIES</b>       |          |                     |                     |
| <b>SHAREHOLDERS' FUNDS</b>          |          |                     |                     |
| Share Capital                       | 3        | 500,000             | 500,000             |
| Reserves and surplus                | 4        | 39,833,948          | 39,508,065          |
|                                     |          | <b>40,333,948</b>   | <b>40,008,065</b>   |
| <b>NON CURRENT LIABILITIES</b>      |          |                     |                     |
| Deferred tax liability              | 8        | 49,234              | 14,831              |
|                                     |          | <b>49,234</b>       | <b>14,831</b>       |
| <b>CURRENT LIABILITIES</b>          |          |                     |                     |
| Short Term Borrowing                |          | 2,718,951           | -                   |
| Trade Paybles                       | 5        | 21,933,406          | 14,912,511          |
| Other current liabilities           | 6        | 9,390,877           | 7,110,355           |
|                                     |          | <b>34,043,234</b>   | <b>22,022,866</b>   |
| <b>TOTAL</b>                        |          | <b>74,426,416</b>   | <b>62,045,762</b>   |
| <b>ASSETS</b>                       |          |                     |                     |
| <b>NON CURRENT ASSETS</b>           |          |                     |                     |
| Fixed Assets                        |          |                     |                     |
| Tangible assets                     | 7        | 2,069,214           | 1,801,432           |
| Intangible assets                   | 7        | 17,145              | 32,047              |
| Intangible assets under development |          | 5,792,604           | -                   |
| Loans and advances                  | 9        | 6,836,299           | 3,645,685           |
|                                     |          | <b>14,715,261</b>   | <b>5,479,163</b>    |
| <b>CURRENT ASSETS</b>               |          |                     |                     |
| Inventory                           | 10       | 4,405,672           | 1,944,403           |
| Trade receivables                   | 11       | 48,699,220          | 49,573,792          |
| Cash and Bank Balances              | 12       | 2,292,598           | 2,709,759           |
| Loans and advances                  | 9        | 4,313,666           | 2,338,645           |
|                                     |          | <b>59,711,155</b>   | <b>56,566,599</b>   |
| <b>TOTAL</b>                        |          | <b>74,426,416</b>   | <b>62,045,762</b>   |

Summary of significant accounting policies.

2

The accompanying notes form an integral part of the financial statements.

This is the Balance Sheet referred to in our report of even date.

As per our report attached

**For Manish S & Co.**

Chartered Accountants

Firm Regn. No.015475



Manish S  
Proprietor

Membership No.: 235310

Place: Bangalore

Date: 02 Sep 2017

**For and on behalf of the Board of Directors**

Sherin Nazer  
Director

Place: Bangalore

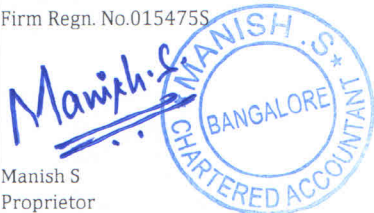
Date: 02 Sep 2017

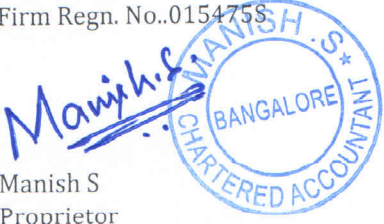
Md Rafeeq Kutty  
Director

Place: Bangalore

Date: 02 Sep 2017



| Nusyn Digital Solutions Private Limited (Formerly Scala Digital Signage Services India Private Limited) |          |                                                                                      |                                  |
|---------------------------------------------------------------------------------------------------------|----------|--------------------------------------------------------------------------------------|----------------------------------|
| PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31 MARCH 2017                                                |          |                                                                                      |                                  |
| (Amount in Rs.)                                                                                         |          |                                                                                      |                                  |
| Particulars                                                                                             | Note no. | For the year ended 31 March 2017                                                     | For the year ended 31 March 2016 |
| <b>INCOME</b>                                                                                           |          |                                                                                      |                                  |
| Revenue from operations                                                                                 | 13       | 144,558,939                                                                          | 161,555,623                      |
| Other income                                                                                            | 14       | 276,174                                                                              | 1,365,166                        |
| <b>Total Revenue</b>                                                                                    |          | <b>144,835,113</b>                                                                   | <b>162,920,789</b>               |
| <b>EXPENDITURE</b>                                                                                      |          |                                                                                      |                                  |
| Purchase                                                                                                | 15       | 93,980,345                                                                           | 106,612,920                      |
| (Increase)/ Decrease In Inventories                                                                     | 16       | (2,461,269)                                                                          | (381,197)                        |
| Employee benefit expenses                                                                               | 17       | 32,562,112                                                                           | 29,425,356                       |
| Finance Costs                                                                                           | 18       | 491,681                                                                              | 907,626                          |
| Depreciation and amortisation                                                                           | 7        | 661,408                                                                              | 805,518                          |
| Other expenses                                                                                          | 19       | 19,333,628                                                                           | 13,839,442                       |
|                                                                                                         |          | <b>144,567,905</b>                                                                   | <b>151,209,664</b>               |
| <b>PROFIT BEFORE TAX</b>                                                                                |          | <b>267,208</b>                                                                       | <b>11,711,125</b>                |
| <b>TAX EXPENSE</b>                                                                                      |          |                                                                                      |                                  |
| Current tax                                                                                             |          | -                                                                                    | 3,999,889                        |
| Deferred tax charge/(credit)                                                                            |          | (35,153)                                                                             | 14,831                           |
|                                                                                                         |          | <b>(35,153)</b>                                                                      | <b>4,014,720</b>                 |
| <b>PROFIT AFTER TAX</b>                                                                                 |          | <b>302,361</b>                                                                       | <b>7,696,405</b>                 |
| Balance brought forward from the previous year                                                          |          | 37,067,056                                                                           | 29,370,651                       |
| <b>BALANCE CARRIED OVER TO THE BALANCE SHEET</b>                                                        |          | <b>37,369,417</b>                                                                    | <b>37,067,056</b>                |
| <b>EARNINGS PER SHARE</b> (Equity share, par value Rs. 10 each)                                         |          |                                                                                      |                                  |
| Basic and diluted                                                                                       |          | 6.05                                                                                 | 153.93                           |
| Summary of significant accounting policies. 2                                                           |          |                                                                                      |                                  |
| The accompanying notes form an integral part of the financial statements.                               |          |                                                                                      |                                  |
| This is the Profit and Loss Account referred to in our report of even date.                             |          |                                                                                      |                                  |
| As per our report attached                                                                              |          |                                                                                      |                                  |
| <b>For Manish S &amp; Co.</b>                                                                           |          | <b>For and on behalf of the Board of Directors</b>                                   |                                  |
| Chartered Accountants                                                                                   |          |                                                                                      |                                  |
| Firm Regn. No.015475S                                                                                   |          |                                                                                      |                                  |
|                      |          |  |                                  |
| Manish S                                                                                                |          | Sherin Nazer                                                                         |                                  |
| Proprietor                                                                                              |          | Director                                                                             |                                  |
| Membership No.: 235310                                                                                  |          | Md Rafeeq Kutty                                                                      |                                  |
| Place: Bangalore                                                                                        |          | Director                                                                             |                                  |
| Date: 02 Sep 2017                                                                                       |          | Place: Bangalore                                                                     |                                  |
|                                                                                                         |          | Date: 02 Sep 2017                                                                    |                                  |

| Nusyn Digital Solutions Private Limited (Formerly Scala Digital Signage Services India Private)                                                                                 |                                                                                                                                          |                                                                                                                                            |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------|
| CASH FLOW STATEMENTS FOR THE YEAR ENDED 31 MARCH 2017                                                                                                                           |                                                                                                                                          |                                                                                                                                            |
|                                                                                                                                                                                 | (Amount in Rs.)                                                                                                                          | (Amount in Rs.)                                                                                                                            |
| Particulars                                                                                                                                                                     | For the year ended 31 March                                                                                                              | For the year ended 31 March 2016                                                                                                           |
| <b>Cash flow from operating activities</b>                                                                                                                                      |                                                                                                                                          |                                                                                                                                            |
| Profit before tax                                                                                                                                                               | 267,208                                                                                                                                  | 11,711,125                                                                                                                                 |
| Adjustment to reconcile profit before tax to net cash flows                                                                                                                     |                                                                                                                                          |                                                                                                                                            |
| Depreciation                                                                                                                                                                    | 661,408                                                                                                                                  | 805,518                                                                                                                                    |
| Interest Received                                                                                                                                                               | -58,851                                                                                                                                  | -518,580                                                                                                                                   |
| Prior period expenses                                                                                                                                                           | 250,180                                                                                                                                  | 36,584                                                                                                                                     |
| Other income                                                                                                                                                                    | -143,302                                                                                                                                 | -                                                                                                                                          |
| <b>Operating profit before working capital changes</b>                                                                                                                          | 976,643                                                                                                                                  | 12,034,647                                                                                                                                 |
| Movements in working capital :                                                                                                                                                  |                                                                                                                                          |                                                                                                                                            |
| Increase / (decrease) in short term borrowing                                                                                                                                   | 2,718,951                                                                                                                                | -                                                                                                                                          |
| Increase / (decrease) in Trade Payable                                                                                                                                          | 7,020,895                                                                                                                                | 8,252,117                                                                                                                                  |
| Increase / (decrease) in other current liabilities                                                                                                                              | 2,280,522                                                                                                                                | 1,384,170                                                                                                                                  |
| Decrease / (increase) in loans and advances                                                                                                                                     | -5,165,634                                                                                                                               | 645,988                                                                                                                                    |
| Decrease / (increase) in Inventories                                                                                                                                            | -2,461,269                                                                                                                               | -381,197                                                                                                                                   |
| Decrease / (increase) in Trade receivables                                                                                                                                      | 874,573                                                                                                                                  | -19,488,972                                                                                                                                |
| Cash generated from / (used in) operations                                                                                                                                      | 6,244,680                                                                                                                                | 2,446,751                                                                                                                                  |
| Direct taxes paid (net of refunds)                                                                                                                                              | -                                                                                                                                        | -3,999,889                                                                                                                                 |
| <b>Net cash flow from/ (used in) operating activities (A)</b>                                                                                                                   | 6,244,680                                                                                                                                | -1,553,138                                                                                                                                 |
| <b>Cash flows from investing activities</b>                                                                                                                                     |                                                                                                                                          |                                                                                                                                            |
| Purchase of fixed assets                                                                                                                                                        | -928,088                                                                                                                                 | -623,368                                                                                                                                   |
| Intangible assets under development                                                                                                                                             | -5,792,604                                                                                                                               | -                                                                                                                                          |
| <b>Net cash flow from/ (used in) investing activities (B)</b>                                                                                                                   | -6,720,692                                                                                                                               | -623,368                                                                                                                                   |
| <b>Cash flows from financing activities</b>                                                                                                                                     |                                                                                                                                          |                                                                                                                                            |
| Interest received                                                                                                                                                               | 58,851                                                                                                                                   | 518,580                                                                                                                                    |
| Dividend Paid                                                                                                                                                                   | -                                                                                                                                        | -6,124,019                                                                                                                                 |
| <b>Net cash flow from/ (used in) in financing activities (C)</b>                                                                                                                | 58,851                                                                                                                                   | -5,605,439                                                                                                                                 |
| <b>Net increase/(decrease) in cash and cash equivalents (A + B + C)</b>                                                                                                         | -417,161                                                                                                                                 | -7,781,945                                                                                                                                 |
| Cash and cash equivalents at the beginning of the year                                                                                                                          | 2,709,759                                                                                                                                | 10,491,703                                                                                                                                 |
| <b>Cash and cash equivalents at the end of the year</b>                                                                                                                         | 2,292,598                                                                                                                                | 2,709,759                                                                                                                                  |
| <b>Components of cash and cash equivalents</b>                                                                                                                                  |                                                                                                                                          |                                                                                                                                            |
| Cash                                                                                                                                                                            | 3,385                                                                                                                                    | 2,147                                                                                                                                      |
| With banks                                                                                                                                                                      | 2,289,213                                                                                                                                | 2,707,612                                                                                                                                  |
| <b>Total cash and cash equivalents (note 12)</b>                                                                                                                                | 2,292,598                                                                                                                                | 2,709,759                                                                                                                                  |
| Summary of significant accounting policies.                                                                                                                                     | 2                                                                                                                                        |                                                                                                                                            |
| The accompanying notes form an integral part of the financial statements.                                                                                                       |                                                                                                                                          |                                                                                                                                            |
| As per our report attached<br>For <b>Manish S &amp; Co.</b><br>Chartered Accountants<br>Firm Regn. No..0154755                                                                  | For and on behalf of the Board of Directors                                                                                              |                                                                                                                                            |
| <br>Manish S<br>Proprietor<br>Membership No.: 235310<br>Place: Bangalore<br>Date: 02 Sep 2017 | <br>Director<br>Place: Bangalore<br>Date: 02 Sep 2017 | <br>Director<br>Place: Bangalore<br>Date: 02 Sep 2017 |

**Nusyn Digital Solutions Private Limited (Formerly Scala Digital Signage Services India Private Limited)**  
**Notes to the financial statement for the year ended March 31, 2017**

**1. COMPANY OVERVIEW**

Nusyn Digital Solutions Private Limited (Formerly Scala Digital Signage Services India Private Limited) (the 'Company') was incorporated on 04 February 2011, as a Private Limited Company under the Companies Act, 1956 ('the Act'). The Company is engaged in the business of providing digital signage services.

**2. SIGNIFICANT ACCOUNTING POLICIES**

**a) Basis of preparation**

The financial statements of the company have been prepared in accordance with the generally accepted accounting principles in India (Indian GAAP). The company has prepared these financial statements to comply in all material respects with the accounting standards notified under section 133 of the Companies Act 2013, read together with paragraph 7 of the Companies (Accounts) Rules 2014. The financial statements have been prepared on an accrual basis and under the historical cost convention.

**b) Use of estimates**

The preparation of financial statements requires management to make judgments, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses, during the reporting year. Estimates & Underlying assumptions are viewed on an ongoing basis. Revision of accounting estimates are revised and in any future year affected. Example of such estimates includes useful life of intangible assets.

**c) Revenue recognition**

The Company derives its revenues primarily from rendering services like business process outsourcing operations, B2B marketing and conducting online webinars.

All contracts are of time and material in nature, thus revenue is recognised when the services are rendered in accordance with the terms of the contracts with clients.

**d) Fixed assets**

Fixed Assets are stated at historical cost of acquisition less accumulated depreciation & impairment Loss, if any. All costs incurred in bringing the assets to its working condition for intended use have been capitalized.

**Intangible Assets**

Intangible assets are recognized only if it is probable that the future economic benefits that are attributable to the asset will flow to the enterprise and the cost of the asset can be measured reliably. The intangible assets are recorded at cost and are carried at cost less accumulated amortization.

**Depreciation and amortization**

Depreciation on fixed assets is calculated on a straight-line basis using the rates arrived at based on the useful lives estimated by the management.

| Asset                  | Years |
|------------------------|-------|
| Computers              | 3     |
| Printer                | 3     |
| Office Equipment       | 5     |
| Furniture and Fittings | 10    |
| Software               | 5     |

**e) Impairment of assets**

The Company assesses at each balance sheet date whether there is any indication that a fixed asset, including goodwill, may be impaired. If any such indication exists, the Company estimates the recoverable amount of the asset. The recoverable amount is the greater of the asset's net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using the pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the assets. If such recoverable amount of the asset or the recoverable amount of the cash generating unit to which the asset belongs is less than its carrying amount, the carrying amount is reduced to its recoverable amount. The reduction is treated as an impairment loss and is recognized in the statement of profit and loss. If at the balance sheet date there is an indication that a previously assessed impairment loss no longer exists, the recoverable amount is reassessed and the asset is reflected at the recoverable amount subject to a maximum of depreciated historical cost. In respect of goodwill, the impairment loss will be reversed only when it was caused by specific external events and their effects have been reversed by subsequent external events.

**f) Leases**

For operating leases, lease payments (including cost for services, such as maintenance) are recognized as an expense in the statement of profit and loss on a straight line basis over the lease term.

**g) Employee benefits**

**Provident Fund:**

Employees receive benefits from a provident fund. The employee and employer each make monthly contributions to the government administered plan. The Company's liability is limited to the contribution made to the fund.

**Gratuity:**

In accordance with the Payment of Gratuity Act, 1972, the Company provides for a lump sum payment to eligible employees, at retirement or termination of employment based on last drawn salary and years of employment with the company.

**h) Foreign currency**

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Foreign exchange transactions are recorded at the rates of exchange prevailing on the dates of the respective transactions. Exchange differences Monetary assets and liabilities which are denominated in foreign currencies as at the balance sheet date are translated at the exchange rates on that date. The resultant exchange differences are recognized in the statement of profit and loss. Non-monetary items which are carried in terms of historical cost denominated in foreign currency are reported using the exchange rate as at the date of the transaction.

#### i) Income taxes

Income-tax expense comprises of current tax (i.e. amount of tax for the year determined in accordance with the income-tax law) and deferred tax charge or credit (reflecting the tax effects of timing differences between accounting income and taxable income for the period). The deferred tax charge or credit and the corresponding deferred tax liabilities or assets are recognized using the tax rates that have been enacted or substantively enacted by the balance sheet date. Deferred tax assets are recognized only to the extent that there is reasonable certainty that the assets can be realized in future; however, where there is unabsorbed depreciation or carry-forward losses, deferred tax assets are recognized only if there is virtual certainty of realization of such assets. Deferred tax assets are reviewed as at each balance sheet date and written down value or written up to reflect the amount that is reasonably or virtually certain (as the case may be) to be realized.

#### j) Provisions and contingent liabilities

A provision is recognized when an enterprise has a present obligation as result of past event and it is probable that an outflow of resources will be required to settle a reliably estimable obligation. Provisions are not discounted to present value and are determined based on best estimate required to settle each obligation at each balance sheet date.

#### k) Earnings per share

Basic earnings per share are calculated by dividing the net profit/(loss) for the year attributable to equity shareholders by the weighted average number of equity shares outstanding during the year.

#### l) Cash and cash equivalents

Cash and cash equivalents for the purposes of cash flow statement comprise cash at bank and in hand and short-term investments with an original maturity of three months or less.

|                                                              | (Amount in Rs.) |                |
|--------------------------------------------------------------|-----------------|----------------|
|                                                              | 31 March        | 31 March 2016  |
| <b>3 SHARE CAPITAL</b>                                       |                 |                |
| Authorised                                                   |                 |                |
| 50,000.00                                                    | 500,000         | 500,000        |
| Issued, Subscribed and fully paid                            |                 |                |
| 50,000.00                                                    | 500,000         | 500,000        |
| <b>Total Issued, Subscribed and fully paid share capital</b> | <b>500,000</b>  | <b>500,000</b> |

#### (a) Reconciliation of the shares outstanding at the beginning and at the end of the reporting period

|                                           | 31-Mar-17     |                | 31-Mar-16     |                |
|-------------------------------------------|---------------|----------------|---------------|----------------|
|                                           | Number        | Rs.            | Number        | Rs.            |
| At the beginning of the year              | 50,000        | 500,000        | 50,000        | 500,000        |
| Issued during the year                    | -             | -              | -             | -              |
| <b>Outstanding at the end of the year</b> | <b>50,000</b> | <b>500,000</b> | <b>50,000</b> | <b>500,000</b> |

#### (b) Terms/ rights attached to equity shares

The Company has only one class of equity shares having par value of Rs 10 per share. Each holder of equity shares is entitled to one vote per share. The Company declares and pays dividends in Indian rupees.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

#### (c) Details of shareholders holding more than 5% shares in the Company

| Name of the shareholder               | 31-Mar-17 |              | 31-Mar-16 |              |
|---------------------------------------|-----------|--------------|-----------|--------------|
|                                       | Number    | % of holding | Number    | % of holding |
| Mohamed Rafeeq Kutty                  | 11,409    | 22.82        | 11,409    | 22.82        |
| Jahan Kadhar                          | 10,098    | 20.20        | 10,098    | 20.20        |
| Anas Ahmed                            | 10,000    | 20.00        | 10,000    | 20.00        |
| DigiFour Technologies Private Limited | 9,607     | 19.21        | 9,607     | 19.21        |
| Sherin Nazer                          | 8,886     | 17.77        | 8,886     | 17.77        |

As per records of the Company, including its register of shareholders/ members and other declarations received from shareholders regarding beneficial interest, the above shareholding represents both legal and beneficial ownerships of shares.

|                                   | (Amount in Rs.)   |                   |
|-----------------------------------|-------------------|-------------------|
|                                   | 31 March          | 31 March 2016     |
| <b>4. Reserve and Surplus</b>     |                   |                   |
| <b>Securities Premium Reserve</b> |                   |                   |
| Beginning of the year             | 15,478,547        | 15,478,547        |
| Premium on Issue of shares        | -                 | -                 |
| <b>Closing</b>                    | <b>15,478,547</b> | <b>15,478,547</b> |
| <b>Rent Equalization Reserve</b>  |                   |                   |
| Beginning of the year             | -                 | -                 |
| Add-During the year               | 23,522            | -                 |



|                                           |                   |                   |
|-------------------------------------------|-------------------|-------------------|
| Closing                                   | 23,522            | -                 |
| <b>Surplus in Profit and Loss Account</b> |                   |                   |
| Beginning of the year                     | 37,067,057        | 29,370,652        |
| Profit (loss) for the year                | 302,361           | 7,696,405         |
| Closing Profit(loss) for the year         | 37,369,418        | 37,067,057        |
| Dividend Paid till date                   | (13,037,539)      | (13,037,539)      |
| Less: Transfers to reserves               | -                 | -                 |
| Closing                                   | 24,331,879        | 24,029,518        |
| <b>Total reserves and surplus</b>         | <b>39,833,948</b> | <b>39,508,065</b> |

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| Nusyn Digital Solutions Private Limited (Formerly Scala Digital Signage Services India Private Limited) |                   |                   |
|---------------------------------------------------------------------------------------------------------|-------------------|-------------------|
| Notes to the financial statement for the year ended March 31, 2017                                      |                   |                   |
|                                                                                                         | (Amount in Rs.)   |                   |
|                                                                                                         | 31-Mar-17         | 31-Mar-16         |
| <b>5 TRADE PAYABLES</b>                                                                                 |                   |                   |
| Trade Paybles                                                                                           |                   |                   |
| Bangalore Ho                                                                                            | 15,562,602        | 8,931,571         |
| Mumbai Branch                                                                                           | 1,150,853         | 1,154,050         |
| Nodia Branch                                                                                            | 5,219,956         | 4,826,895         |
| (There is no due to Micro, Small and Medium enterprise registered under MSMED act)                      |                   |                   |
|                                                                                                         | <b>21,933,411</b> | <b>14,912,516</b> |
|                                                                                                         |                   |                   |
|                                                                                                         |                   | (Amount in Rs.)   |
|                                                                                                         | 31-Mar-17         | 31-Mar-16         |
| <b>6 OTHER CURRENT LIABILITIES</b>                                                                      |                   |                   |
| Other Liabilities                                                                                       |                   |                   |
| Statutory Dues                                                                                          | 1,603,864         | 637,221           |
| Employee Reimbursement                                                                                  | 646,435           | 750,136           |
| Dividend Tax payable                                                                                    | -                 | 1,087,438         |
| Advance from customers                                                                                  | 6,952,654         | 4,448,695         |
| Outstanding Expenses Payable                                                                            | 187,924           | 186,865           |
|                                                                                                         | <b>9,390,877</b>  | <b>7,110,355</b>  |



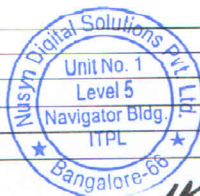
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| <b>Nusyn Digital Solutions Private Limited (Formerly Scala Digital Signage Services India Private Limited)</b><br><b>Notes to the financial statement for the year ended March 31, 2017</b> |                       |                |              |                        |                      |                |           |                       |                        |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|----------------|--------------|------------------------|----------------------|----------------|-----------|-----------------------|------------------------|
| (Amount in Rs.)                                                                                                                                                                             |                       |                |              |                        |                      |                |           |                       |                        |
| <b>7. TANGIBLE AND INTANGIBLE ASSETS</b>                                                                                                                                                    |                       |                |              |                        |                      |                |           |                       |                        |
| Particulars                                                                                                                                                                                 | Gross Block           |                |              | Depreciation           |                      |                | Net Block |                       |                        |
|                                                                                                                                                                                             | As at<br>1 April 2016 | Additions      | Deletions    | As at<br>31 March 2017 | Upto<br>1 April 2016 | for the Year   | Deletions | Upto<br>31 March 2017 | As at<br>31 March 2016 |
| <b>Tangible Assets</b>                                                                                                                                                                      |                       |                |              |                        |                      |                |           |                       |                        |
| Computers                                                                                                                                                                                   | 3,234,304             | 478,349        | -            | 3,712,653              | 2,787,608            | 389,261        | -         | 3,176,870             | 446,696                |
| Office Equipments                                                                                                                                                                           | 335,479               | 44,410         | -            | 379,889                | 307,436              | 17,397         | -         | 324,833               | 28,043                 |
| Furniture and Fixture                                                                                                                                                                       | 2,012,044             | 398,429        | 6,900        | 2,403,573              | 685,352              | 239,847        | -         | 925,199               | 1,326,692              |
| <b>Total (A)</b>                                                                                                                                                                            | <b>5,581,827</b>      | <b>921,188</b> | <b>6,900</b> | <b>6,496,115</b>       | <b>3,780,395</b>     | <b>646,506</b> | <b>-</b>  | <b>4,426,901</b>      | <b>1,801,432</b>       |
| <b>Intangible Assets</b>                                                                                                                                                                    |                       |                |              |                        |                      |                |           |                       |                        |
| Software                                                                                                                                                                                    | 74,508                | -              | -            | 74,508                 | 42,461               | 14,902         | -         | 57,363                | 32,047                 |
| <b>Total (B)</b>                                                                                                                                                                            | <b>74,508</b>         | <b>-</b>       | <b>-</b>     | <b>74,508</b>          | <b>42,461</b>        | <b>14,902</b>  | <b>-</b>  | <b>57,363</b>         | <b>32,047</b>          |
| <b>Total(A+B)</b>                                                                                                                                                                           | <b>5,656,335</b>      | <b>921,188</b> | <b>6,900</b> | <b>6,570,623</b>       | <b>3,822,857</b>     | <b>661,408</b> | <b>-</b>  | <b>4,484,265</b>      | <b>1,833,478</b>       |



| Nusyn Digital Solutions Private Limited (Formerly Scala Digital Signage Services India Private Limited) |             |                          |            |           |
|---------------------------------------------------------------------------------------------------------|-------------|--------------------------|------------|-----------|
| Notes to the financial statement for the year ended March 31, 2017                                      |             |                          |            |           |
| (Amount in Rs.)                                                                                         |             |                          |            |           |
|                                                                                                         | 31-Mar-17   |                          | 31-Mar-16  |           |
| 8 DEFERRED TAX Assets (NET)                                                                             |             |                          |            |           |
| Depreciation and amortization expense: Difference between tax depreciation and                          | (49,234)    |                          | (14,831)   |           |
| Others                                                                                                  | -           |                          | -          |           |
|                                                                                                         | (49,234)    |                          | (14,831)   |           |
| (Amount in Rs.)                                                                                         |             |                          |            |           |
|                                                                                                         | Non Current |                          | Current    |           |
|                                                                                                         | 31-Mar-17   | 31-Mar-16                | 31-Mar-17  | 31-Mar-16 |
| 9 LOANS AND ADVANCES                                                                                    |             |                          |            |           |
| Security deposit                                                                                        |             |                          |            |           |
| Secured, considered good                                                                                | 2,318,464   | 2,163,785                | 25,000     | 1,519,715 |
| Unsecured, considered good                                                                              | -           | -                        | -          | -         |
| Other loans and advances Unsecured, considered good                                                     |             |                          |            |           |
| -Prepaid Expenses                                                                                       | -           | -                        | 914,281    | 818,930   |
| -Advances to employees                                                                                  | -           | -                        | 252,576    | -         |
| -Advances to creditors                                                                                  | -           | -                        | 3,039,209  | -         |
| -Balance with statutory/ government authorities                                                         | -           | -                        | 82,600     | -         |
| -Advance income-tax (net of provision for taxation)                                                     | 4,517,835   | 1,481,900                | -          | -         |
|                                                                                                         | 6,836,299   | 3,645,685                | 4,313,666  | 2,338,645 |
| (Amount in Rs.)                                                                                         |             |                          |            |           |
|                                                                                                         | 31-Mar-17   |                          | 31-Mar-16  |           |
| 10 Inventory                                                                                            |             |                          |            |           |
| Traded goods                                                                                            | 4,405,672   |                          | 1,944,403  |           |
|                                                                                                         | 4,405,672   |                          | 1,944,403  |           |
| (Amount in Rs.)                                                                                         |             |                          |            |           |
|                                                                                                         | Current     |                          |            |           |
|                                                                                                         | 31-Mar-17   |                          | 31-Mar-16  |           |
| 11 TRADE RECEIVABLES                                                                                    |             |                          |            |           |
| Outstanding for a period exceeding six months from the date they are due for payment, unsecured         |             |                          |            |           |
| Considered good                                                                                         | 5,885,697   |                          | 40,271,428 |           |
| Bangalore Ho                                                                                            | -           |                          | 1,896,638  |           |
| Mumbai Branch                                                                                           | 319,950     |                          | 7,405,726  |           |
| Nodia Branch                                                                                            | -           |                          | -          |           |
| Considered doubtful                                                                                     | -           |                          | -          |           |
| Less: Provision for doubtful debts                                                                      | -           |                          | -          |           |
| Other receivables                                                                                       |             |                          |            |           |
| Considered good                                                                                         | 32,558,187  |                          | -          |           |
| Bangalore Ho                                                                                            | 3,445,028   |                          | -          |           |
| Mumbai Branch                                                                                           | 6,490,358   |                          | -          |           |
| Nodia Branch                                                                                            | 48,699,220  |                          | 49,573,792 |           |
| (Amount in Rs.)                                                                                         |             |                          |            |           |
|                                                                                                         | Non Current |                          | Current    |           |
|                                                                                                         | 31-Mar-17   | 31-Mar-16                | 31-Mar-17  | 31-Mar-16 |
| 12 CASH AND BANK BALANCES                                                                               |             |                          |            |           |
| Cash and cash equivalents                                                                               |             |                          |            |           |
| Cash on hand                                                                                            | 3,385       |                          | 2,147      |           |
| Balances with banks                                                                                     |             |                          |            |           |
| -On Current Accounts                                                                                    | 2,289,213   |                          | 2,707,612  |           |
| -Deposits with original maturity less than 3 months                                                     | -           | -                        | -          | -         |
|                                                                                                         | -           | -                        | 2,292,598  | 2,709,759 |
| Other bank balances                                                                                     |             |                          |            |           |
| -Deposits with original maturity for more than 12 months                                                | -           | -                        | -          | -         |
| -Deposits with original maturity for more than 3 months but less than 12 months                         | -           | -                        | -          | -         |
|                                                                                                         | -           | -                        | -          | -         |
| Amount disclosed under non current asset                                                                | -           | -                        | -          | -         |
|                                                                                                         | -           | -                        | -          | -         |
|                                                                                                         | 2,292,598   |                          | 2,709,759  |           |
|                                                                                                         |             |                          |            |           |
| Cash Details                                                                                            | SBNs        | Other Denomination Notes | Total      |           |
| Closing Cash in Hand on 8 Nov 2016                                                                      | -           | 6,062                    | 6,062      |           |
| +Permitted Receipts                                                                                     | -           | 25,000                   | 25,000     |           |
| -Permitted Payments                                                                                     | -           | 24,560                   | 24,560     |           |
| -Amounts Deposited in Banks                                                                             | -           | -                        | -          |           |
| Closing Cash in Hand on 30 Dec 2016                                                                     | -           | 6,502                    | 6,502      |           |



**Nusyn Digital Solutions Private Limited (Formerly Scala Digital Signage Services India Private Limited)**  
**Notes to the financial statement for the year ended March 31, 2017**

(Amount in Rs.)

|                                               | Year ended<br>31-Mar-17 | Year ended<br>31-Mar-16 |
|-----------------------------------------------|-------------------------|-------------------------|
| <b>13 REVENUE FROM OPERATIONS</b>             |                         |                         |
| <b>Sale of products</b>                       |                         |                         |
| Traded goods                                  | 46,927,586              | 71,391,642              |
| Bangalore Ho                                  | 12,921,400              | 1,747,100               |
| Mumbai Branch                                 | 49,058,669              | 37,780,614              |
| Nodia Branch                                  |                         |                         |
| <b>Sale of Services</b>                       |                         |                         |
| Software License                              | 9,655,751               | 22,789,368              |
| Server Hosting                                | 6,236,351               | 7,957,312               |
| Maintenance service                           | 11,552,866              | 19,889,587              |
| Sales Services                                | 7,263,516               | -                       |
| Exempted Sales Against Form-A1                | 942,799                 | -                       |
|                                               | <b>144,558,939</b>      | <b>161,555,623</b>      |
| <b>14 OTHER INCOME</b>                        |                         |                         |
| Interest Income                               |                         |                         |
| Bank Deposits                                 | 58,851                  | 518,580                 |
| Other non operating income                    | 217,323                 | 838,600                 |
| Provision no longer required, written back    | -                       | 7,986                   |
|                                               | <b>276,174</b>          | <b>1,365,166</b>        |
| <b>15 PURCHASE OF TRADED GOODS/SERVICE</b>    |                         |                         |
| <b>Traded goods</b>                           |                         |                         |
| Bangalore Ho                                  | 38,997,219              | 70,300,362              |
| Mumbai Branch                                 | 11,604,900              | 1,498,500               |
| Nodia Branch                                  | 40,679,454              | 33,062,448              |
| <b>Traded Services</b>                        |                         |                         |
| Bangalore Ho                                  | 1,189,270               | -                       |
| Other attributable expenses                   | 1,509,502               | 1,751,610               |
|                                               | <b>93,980,345</b>       | <b>106,612,920</b>      |
| <b>16 (INCREASE)/ DECREASE IN INVENTORIES</b> |                         |                         |
| Inventories at the end of the year            |                         |                         |
| Traded goods                                  | 4,405,672               | 1,944,403               |
| Inventories at the beginning of the year      |                         |                         |
| Traded goods                                  | 1,944,403               | 1,563,206               |
|                                               | <b>(2,461,269)</b>      | <b>(381,197)</b>        |
| <b>17 EMPLOYEE BENEFIT EXPENSES</b>           |                         |                         |
| Salaries, Benefits and Allowances             | 31,328,230              | 26,971,347              |
| Employer's Contribution to Provident Fund     | 1,118,869               | 1,857,274               |
| Staff Welfare                                 | 115,013                 | 596,735                 |
|                                               | <b>32,562,112</b>       | <b>29,425,356</b>       |
| <b>18 FINANCE COST</b>                        |                         |                         |
| Interest                                      | 354,569                 | 143,971                 |
| Bank charges                                  | 137,112                 | 763,655                 |
|                                               | <b>491,681</b>          | <b>907,626</b>          |
| <b>19 OTHER EXPENSES</b>                      |                         |                         |
| Audit Fees                                    |                         |                         |
| Statutory Audit Fee                           | 25,000                  | -                       |



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|                              |                   |                   |
|------------------------------|-------------------|-------------------|
| Business Promotion           | -                 | 171,083           |
| Carriage Outward             | 1,442,956         | 620,167           |
| Professional & Legal Charges | 3,896,157         | 2,530,360         |
| Communication expenses       | 841,413           | 842,481           |
| Discount Allowed             | -                 | 192,274           |
| Insurance                    | 1,237,917         | 344,157           |
| License Fee                  | 725,023           | -                 |
| Office Expenses              | 198,509           | 106,482           |
| Power and Fuel               | 220,510           | 187,803           |
| Printing & Stationery        | 109,925           | 106,452           |
| Rent                         | 2,739,383         | 2,173,067         |
| Repairs to buildings         | 654,244           | 1,028,958         |
| Repairs to machinery         | 21,388            | 52,025            |
| Rates and taxes              | 190,531           | 1,896,512         |
| Miscellaneous expenses       | 547,637           | 227,384           |
| Travel and Conveyance        | 5,766,192         | 4,632,316         |
| Selling & Distribution       | 399,230           | 180,900           |
| Exchange gain/loss           | 67,433            | (1,452,979)       |
| Prior period expenses        | 250,180           | -                 |
|                              | <b>19,333,628</b> | <b>13,839,442</b> |

*R.H.*



*[Signature]*

**Nusyn Digital Solutions Private Limited (Formerly Scala Digital Signage Services India Private Limited)**  
**Notes to the financial statement for the year ended March 31, 2017**

**20. Operating Leases**

The Company has occupied office facilities under cancellable operating lease agreements. The Company intends to renew such leases in the normal course of its business. Total rental expense under cancellable operating leases for the year ended 31 March 2017 amounted to Rs 27,39,383 (year ended 31 March 2016: Rs 21,73,067).

**21. Related Party Transactions (AS-18)**

**(a) Key Management Personnel**

|                        |                                                 |
|------------------------|-------------------------------------------------|
| Sherin Nazer           | Director                                        |
| K. Rafeeq Mohmed Kutty | Director                                        |
| Jahan Kadhar           | Shareholder having more than 20% voting rights. |

**(b) Company with common Directors**

Digifour Technologies

**(c) Managerial Remuneration:(Salary)**

**(Amount in Rs.)**

|                        | <b>31-Mar-17</b> | <b>31-Mar-16</b> |
|------------------------|------------------|------------------|
| Sherin Nazer           | 1,463,900        | 1,470,448        |
| K. Rafeeq Mohmed Kutty | 3,719,473        | 4,152,315        |
| Jahan Kadhar           | 3,608,608        | 3,269,639        |

**22. CIF Value of Imports**

**(Amount in Rs.)**

|  |                   |                   |
|--|-------------------|-------------------|
|  | 12,590,258        | 17,095,610        |
|  | <b>12,590,258</b> | <b>17,095,610</b> |

**23. Earnings in foreign currency**

**(Amount in Rs.)**

|                      | <b>Year ended<br/>31-Mar-17</b> | <b>Year ended<br/>31-Mar-16</b> |
|----------------------|---------------------------------|---------------------------------|
| Professional Charges | -                               | 3,964,119                       |

**24. Expenditure in foreign currency**

**(Amount in Rs.)**

|                 | <b>Year ended<br/>31-Mar-17</b> | <b>Year ended<br/>31-Mar-16</b> |
|-----------------|---------------------------------|---------------------------------|
| Import Purchase | 12,590,258                      | 17,095,610                      |
|                 | <b>12,590,258</b>               | <b>17,095,610</b>               |

**25. Earnings Per Share ('EPS')**

**(Amount in Rs.)**

|                                                        | <b>Year ended<br/>31-Mar-17</b> | <b>Year ended<br/>31-Mar-16</b> |
|--------------------------------------------------------|---------------------------------|---------------------------------|
| Net Profit/ (Loss) as per the Profit & Loss Account    | 267,208                         | 11,711,125                      |
| Less: Provision for Tax                                | -                               | 4,014,720                       |
| Profit/ (loss) attributable to the equity shareholders | 267,208                         | 7,696,405                       |
| Weighted average number of equity shares               | 50,000                          | 50,000                          |
| Basic Earnings per share                               | 5.34                            | 153.93                          |

**26.** In the opinion of the board, the realizable value of Current Assets, Loans and Advances in the ordinary course of business, would not be less than the amount at which these are stated in the Balance Sheet.

**26.** "The company is a small and medium-sized company (SMC) as defined in the General Instructions in respect of Accounting Standards notified under the Companies Act, 2013. Accordingly, the company has complied with the Accounting Standards as applicable to an SMC."

**27.** Figures have been rounded off to the nearest rupee.

**30.** Previous year's figures have been regrouped / rearranged wherever necessary to conform to the current year's classification



As per our report attached  
For **Manish S & Co.**  
Chartered Accountants  
Firm Regn. No.015475S

*Manish S.*



Manish S  
Proprietor  
Membership No.: 235310  
Place: Bangalore  
Date: 02 Sep 2017

For and on behalf of the Board of Directors

Sherin Nazer  
Director

*[Signature]*

Place: Bangalore  
Date: 02 sep 2017

*[Signature]*

Md Rafeeq Kutty  
Director

Place: Bangalore  
Date: 02 Sep 2017



*[Signature]*

*[Signature]*

| Nusyn Digital Solutions Private Limited (Formerly Scala Digital Signage Services India Private Limited) |                 |          |
|---------------------------------------------------------------------------------------------------------|-----------------|----------|
| Note forming part of the Balance Sheet as at 31 March 2017                                              |                 |          |
| Computation of Deferred Tax Liability                                                                   | Amount (In Rs.) |          |
| Opening Balance as on 1 April 2016 (DTL)                                                                | 14,831          |          |
| Add-Rectification                                                                                       | 69,556          |          |
| Total                                                                                                   | 84,387          | 84,387   |
| <b>Difference in Depreciation</b>                                                                       |                 |          |
| WDV as per Income Tax                                                                                   | 2,200,122       |          |
| WDV as per Companies Act                                                                                | 2,086,358       |          |
| Difference                                                                                              | 113,763         |          |
| Total Difference                                                                                        | 113,763         |          |
| <b>Deferred tax Liability as on 31 March 2017</b>                                                       |                 |          |
| Tax @ 30%                                                                                               | 34,129.03       |          |
| Education Cess @ 3%                                                                                     | 1,024           | (35,153) |
| balance as on 31 march 2017                                                                             |                 | 49,234   |



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| Nusyn Digital Solutions Private Limited (Formerly Scala Digital Signage Services India Private Limited) |        |                   |                             |                       |                  |              |                             |                |                             |
|---------------------------------------------------------------------------------------------------------|--------|-------------------|-----------------------------|-----------------------|------------------|--------------|-----------------------------|----------------|-----------------------------|
| DEPRECIATION SCHEDULE AS PER THE INCOME TAX ACT, 1961                                                   |        |                   |                             |                       |                  |              |                             |                |                             |
| Assets Category                                                                                         | Rate % | W.D.V<br>1-Apr-16 | Additions Put to Use        |                       | Total            | Deletions    | Total<br>as on<br>31-Mar-17 | Dep.           | W.D.V<br>as on<br>31-Mar-17 |
|                                                                                                         |        |                   | Upto /More than<br>180 Days | Less than<br>180 Days |                  |              |                             |                |                             |
| <b>Block I:</b><br>Computers                                                                            | 60%    | 260,559           | -                           | 478,349               | 738,908          | -            | 738,908                     | 299,840        | 439,068                     |
| <b>Block II:</b><br>Plant & Machinery                                                                   | 15%    | 126,896           | -                           | 44,410                | 171,306          | -            | 171,306                     | 22,365         | 148,941                     |
| <b>Block III:</b><br>Furniture and Fittings                                                             | 10%    | 1,398,026         | 361,259                     | 37,170                | 1,796,455        | 6,900        | 1,789,555                   | 177,442        | 1,612,113                   |
|                                                                                                         |        | <b>1,785,481</b>  | <b>361,259</b>              | <b>559,929</b>        | <b>2,706,669</b> | <b>6,900</b> | <b>2,699,769</b>            | <b>499,647</b> | <b>2,200,122</b>            |



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